

Notes: Bao and Edmans (RFS, 2011)

Do Investment Banks Matter for M&A Returns?

Contents

1	Big picture: question, contribution, and why fixed effects	3
1.1	Research question	3
1.2	Core contribution relative to prior literature	3
1.3	Key hypotheses discussed in the paper	3
2	Data and key variables	3
2.1	Deal sample	3
2.2	Outcome: acquirer announcement return	4
2.3	Bank-level performance measures	4
3	All empirical models in the paper	4
3.1	Model 1: Acquirer-characteristics regression (to form residual returns) (Table 2) . .	4
3.2	Model 2: Bank fixed effects in deal CARs (Table 3)	5
3.3	Model 3: Persistence in bank performance via portfolio sorts (Table 5)	5
3.4	Model 4: Regression test of persistence and determinants of returns (Equation (1), Table 6)	5
3.5	Model 5: Do clients chase performance? Market share dynamics (Table 7)	6
3.6	Model 6: Relationship-specific capital and repeat advisor use (Table 8)	6
3.7	Model 7: Bank choice logit among acquirers without relationships (Table 9)	6
4	Interpreting the evidence: all tables and the figure	7
4.1	Table 1: variable definitions (what matters)	7
4.2	Table 2: how acquirer characteristics explain CAR (building CARRES)	7
4.3	Table 3: bank fixed effects are statistically and economically significant	8
4.4	Figure 1: fixed effects are not explained by a simple capacity–selectivity story	9
4.5	Table 4: bank-by-bank examples among the largest advisors	9
4.6	Table 5: performance persistence and why low returns reflect bad deals	9
4.7	Table 6: regressions confirm persistence; market share predicts lower future returns .	9
4.8	Table 7: clients do not chase past returns (but share is highly persistent)	11
4.9	Table 8: relationship lock-in is associated with lower returns for repeat acquirers . .	11
4.10	Table 9: in “no-relationship” settings, market share matters but returns still do not	12

5	Short summary	12
6	Conclusion	13
6.1	Summary	13
6.2	Why fixed effects and persistence can coexist	13
6.3	Implications and open questions	14
6.4	Takeaway	15

1 Big picture: question, contribution, and why fixed effects

1.1 Research question

Do investment banks (M&A advisors) systematically matter for M&A outcomes as measured by acquirer announcement returns?

1.2 Core contribution relative to prior literature

Most prior work tests whether a *chosen* proxy for advisor quality (e.g., market share, name prestige) correlates with average deal CARs. A null result is ambiguous: banks may matter, but the proxy may be poor.

This paper instead estimates whether banks *exhibit differential outcomes in the first place*:

Is there a bank fixed effect in acquirer announcement returns that is statistically significant and economically large?

1.3 Key hypotheses discussed in the paper

The bank fixed effects can be interpreted through competing stories:

- **Skilled advice:** banks differ in ability to originate/structure deals and avoid value-destroying acquisitions.
- **Passive execution / fixated clients:** some deals are initiated by clients and banks are hired mainly to execute; observed returns partly reflect client type.
- **Limited capacity:** banks differ in “selectivity” due to capacity constraints; high average returns could simply reflect taking only the best deals.
- **Mismeasurement:** CAR may understate true value if some information is incorporated outside the event window.

A major empirical goal is to show that the main results are inconsistent with the non-skill explanations above.

2 Data and key variables

2.1 Deal sample

Deals are from SDC (Thomson Financial), announced 1980–2007. Main filters:

- keep change-of-control transactions (final stake $\geq 50\%$, initial stake $\leq 50\%$),
- drop deal value $< \$1$ million,
- require acquirer returns in CRSP.

Final sample: 15,344 deals.

2.2 Outcome: acquirer announcement return

$$\text{CAR}_d \equiv \sum_{\tau=-1}^{+1} \left(r_{i(d),\tau} - r_{\tau}^{mkt} \right), \quad (1)$$

where $r_{i(d),\tau}$ is the acquirer return and r_{τ}^{mkt} is the CRSP value-weighted index return over the same days. The paper winsorizes abnormal returns at the 1% and 99% levels.

2.3 Bank-level performance measures

Let b index an investment bank and t index calendar years.

- **Average announcement return:**

$$\text{RET}_{b,[t-j,t-1]} \equiv \frac{1}{N_{b,[t-j,t-1]}} \sum_{d \in \mathcal{D}_{b,[t-j,t-1]}} \text{CAR}_d,$$

where $\mathcal{D}_{b,[t-j,t-1]}$ are deals advised by bank b in the past j years (and N is their count).

- **Market share:** $\text{SHARE}_{b,[t-j,t-1]}$ is the bank's share of total deal value over the past j years.
- **Multiple advisors:** if a deal has multiple advisors, SDC credits the deal to each advisor (the paper follows this convention).

3 All empirical models in the paper

3.1 Model 1: Acquirer-characteristics regression (to form residual returns) (Table 2)

To conservatively remove the component of CAR attributable to acquirer type (client quality / empire building proxies), the paper estimates:

$$\text{CAR}_d = \alpha_{t(d)} + \alpha_{\text{ind}(i(d))} + X'_{i(d),t(d)-1} \beta + u_d, \quad (2)$$

where X contains governance, quality, and empire-building proxies (Table 1). Define the residual:

$$\text{CARRES}_d \equiv \hat{u}_d, \quad (3)$$

and the bank-level residual performance:

$$\text{RETRES}_{b,[t-j,t-1]} \equiv \frac{1}{N_{b,[t-j,t-1]}} \sum_{d \in \mathcal{D}_{b,[t-j,t-1]}} \text{CARRES}_d.$$

Interpretation. Using RETRES is conservative for advisor skill: it removes predictable components linked to who the bank's clients are.

3.2 Model 2: Bank fixed effects in deal CARs (Table 3)

The core specification is a deal-level regression with bank fixed effects:

$$\text{CAR}_d = \alpha_{t(d)} + \gamma_{b(d)} + \varepsilon_d, \quad (4)$$

where $\gamma_{b(d)}$ is the advisor fixed effect. Two richer specifications add controls and/or acquirer fixed effects:

$$\text{CAR}_d = \alpha_{t(d)} + X'_{i(d),t(d)-1}\beta + \gamma_{b(d)} + \varepsilon_d, \quad (5)$$

$$\text{CAR}_d = \alpha_{t(d)} + X'_{i(d),t(d)-1}\beta + \eta_{i(d)} + \gamma_{b(d)} + \varepsilon_d. \quad (6)$$

Key test. The paper reports an F-test of the joint equality of $\{\gamma_b\}$. Economic magnitude is summarized by the distribution (std. dev. and interquartile range) of estimated γ_b .

Implementation details.

- Bank mergers are handled by constructing separate fixed effects for the acquirer bank and target bank before/after the merger.
- Fixed effects are weighted by inverse standard error when summarizing their distribution (to mitigate estimation noise).
- Robustness checks restrict to “active” banks and filter out potentially illiquid acquirers (Table 3 Panels C–E).

3.3 Model 3: Persistence in bank performance via portfolio sorts (Table 5)

At the start of each year t , banks are sorted into quintiles by past performance $\text{RET}_{b,[t-j,t-1]}$ for $j \in \{1, 2, 3\}$. For each quintile, the paper computes average future performance over $k \in \{1, 2, 3\}$ years:

$$\text{RET}_{q,[t,t+k-1]}^{\text{future}} \equiv \frac{1}{|q|} \sum_{b \in q} \text{RET}_{b,[t,t+k-1]}.$$

The persistence spread is

$$\Delta_{j,k}^{\text{persist}} \equiv \text{RET}_{Q5,[t,t+k-1]}^{\text{future}} - \text{RET}_{Q1,[t,t+k-1]}^{\text{future}}.$$

Newey–West standard errors are used because future windows overlap.

The sort is repeated using RETRES and also using transaction-value-weighted returns.

3.4 Model 4: Regression test of persistence and determinants of returns (Equation (1), Table 6)

A pooled bank-year regression mirrors the sort logic and allows controls:

$$\text{RET}_{b,t} = \alpha_t + \beta_R \text{RET}_{b,[t-j,t-1]} + \beta_S \text{SHARE}_{b,[t-j,t-1]} + e_{b,t}, \quad (7)$$

where $RET_{b,t}$ is bank b 's average CAR in year t and regressors are measured over the prior j years. Standard errors are clustered by bank.

Two extensions:

- **Size heterogeneity via interaction:**

$$RET_{b,t} = \alpha_t + \beta_R RET_{b,[t-j,t-1]} + \beta_S SHARE_{b,[t-j,t-1]} + \beta_{RS} (RET_{b,[t-j,t-1]} \times SHARE_{b,[t-j,t-1]}) + e_{b,t}.$$

- **Time variation (first-half interaction):** define $FIRSTHALF_t = 1$ if $t \leq 1994$ and interact both RET and $SHARE$ with $FIRSTHALF_t$.

3.5 Model 5: Do clients chase performance? Market share dynamics (Table 7)

To test whether acquirers reward past performance with future mandates, the paper estimates:

$$SHARE_{b,t} = \alpha + \phi_R RET_{b,[t-j,t-1]} + \phi_S SHARE_{b,[t-j,t-1]} + \eta_b + u_{b,t}, \quad (8)$$

with variants that omit η_b and/or add $RET \times SHARE$. If clients chase performance, $\phi_R > 0$ should be economically meaningful and statistically significant. The paper finds ϕ_R is generally insignificant.

3.6 Model 6: Relationship-specific capital and repeat advisor use (Table 8)

For repeat acquirers, the paper compares mean CARs across four mutually exclusive groups:

1. did not retain an old advisor,
2. retained an old advisor,
3. retained an old advisor with *positive* past performance for that client,
4. retained an old advisor with *negative* past performance for that client.

The table reports group means and difference-in-means tests. This can be represented in regression form as:

$$CAR_d = \alpha + \delta_1 RetainOld_d + \delta_2 RetainOldNegPerf_d + \varepsilon_d,$$

but the paper's evidence is presented as transparent group comparisons.

3.7 Model 7: Bank choice logit among acquirers without relationships (Table 9)

At the acquirer–bank level, define $Choice_{a,b,t} = 1$ if acquirer a mandates bank b in year t . For acquirers with no prior M&A/issuance/lending relationship with any of the 143 banks in the prior five years, estimate a logit:

$$\Pr(Choice_{a,b,t} = 1) = \Lambda(\alpha + \theta_R RET_{b,[t-j,t-1]} + \theta_S SHARE_{b,[t-j,t-1]}), \quad (9)$$

where $\Lambda(\cdot)$ is the logistic CDF. Banks not advising M&A in year t are treated as unavailable and excluded. Standard errors are clustered by deal.

4 Interpreting the evidence: all tables and the figure

4.1 Table 1: variable definitions (what matters)

Table 1 defines:

- acquirer characteristics used to compute CARRES (governance, Tobin's Q , leverage, free cash flow, size, competition, ownership, past performance, etc.),
- bank-level performance metrics RET, RETRES, and market share SHARE used in persistence and client-choice tests.

The key message is that the paper uses rich acquirer controls to be conservative about attributing value creation to banks.

Table 1
Definition of variables used in the analyses

Panel A: Used in the calculation of residuals for CAR	
Variable	Definition
RUNUP	Log stock return for the acquirer from -210 to -11 .
Q	Log of Tobin's Q . Tobin's Q = Market value of assets / Total assets (#6). Market value of common stock = Common shares outstanding (#25) * Price (#199).
LEVERAGE	Market value of assets = Book value of assets (#6) + Market value of common stock – Book value of common stock (#60) – Balance sheet deferred taxes (#74). LEVERAGE = Book debt / (Total assets (#6) – Book equity + Market equity). Book equity = Total assets (#6) – Total liabilities (#181) – Preferred stock (#10) + Deferred taxes (#35, if available). Substitute Redemption value of preferred stock (#56) if Preferred stock is missing. Book debt = Total assets (#6) – Book equity. Market equity = Common shares outstanding (#25) * Price (#199).
FCF	FCF = Free cash flow / Total assets (#6). Free cash flow = Operating income before depreciation (#13) – Interest expense (#15) – Income taxes (#16) + Δ Deferred taxes and investment tax credit (#35 – #35 from previous year) – Preferred dividends (#19) – Common dividends (#21). Log of Total assets (#6).
SIZE	$\sum_i \left(\frac{\text{firm sales}(\#12)}{\text{industry sales}} \right)^2$, where industries are defined by the Fama-French 49 industries.
HERFINDAHL	SELLEXP = median selling expenses (#189) over Sales (#12) for industry.
SELLEXP	Fraction of outstanding common shares owned by institutions from Thomson Financial 13f filings.
INST	Firm operating performance minus the industry median in the past year.
OPPERF	Operating performance = Operating income before depreciation (#13) / 0.5 (Total assets + last year's total assets (#6)).
INSIDER	Insider ownership as a fraction of total shares outstanding, from Compact Disclosure. Where missing, we impute it using Sales (#12) and firm age (from CRSP).
ACQSIC	Log of number of acquirer SIC codes.
REPEAT ACQUIRER	Dummy variable that equals 1 if the acquirer announced an acquisition in the previous 5 years.
Panel B: Constructed for direct use in quintile analysis and regressions	
Variable	Definition
RET	Average CAR (3-day cumulative abnormal return) for deals advised by an investment bank over a given number of years.
RETRES	Average residual from a regression of CAR on acquirer characteristics defined in Panel A.
SHARE	Market share by value of acquirer-advised deals for an investment bank over a calendar year.

Where applicable, we include the Compustat item number in the description.

Table 2
Regression of CAR on acquirer characteristics

	CAR
RUNUP	–0.0018 (1.07)
Q	–0.0055 (2.89)***
LEVERAGE	0.0185 (4.05)***
FCF	–0.0569 (7.45)***
SIZE	–0.0033 (8.57)***
HERFINDAHL	0.0008 (0.06)
SELLEXP	–0.0433 (2.22)**
INST	–0.0097 (4.06)***
OPPERF	0.0475 (5.72)***
INSIDER	0.0110 (2.08)**
ACQSIC	–0.0018 (1.92)*
REPEAT ACQUIRER	–0.0028 (1.89)*
Year FE	Yes
Acquirer Industry FE	Yes
# obs	12,622
R^2 (%)	4.17

* significant at 10%; ** significant at 5%; *** significant at 1%.

CAR is the return in excess of the CRSP value-weighted index over a $(-1, +1)$ window relative to the announcement date. The regressors are described in Table 1. The sample period is 1980–2007, and t -statistics are in parentheses.

4.2 Table 2: how acquirer characteristics explain CAR (building CARRES)

Table 2 estimates (2). Main takeaways:

- Several acquirer characteristics significantly predict CAR (e.g., leverage and operating performance positively; free cash flow and size negatively).
- The overall R^2 is about 4%, comparable to earlier work, implying most deal-level return variation is not explained by observables.
- The residual CARRES is therefore a meaningful “client-adjusted” performance measure for banks.

4.3 Table 3: bank fixed effects are statistically and economically significant

Table 3 is the core result.

- **Panel A (F-tests):** bank fixed effects are jointly significant in all three specifications (time FE only; add acquirer characteristics; add acquirer FE).
- **Panel B (dispersion):** the interquartile range (IQR) of bank fixed effects is large: about 0.94–1.26% across specifications, comparable to (and often larger than) the mean CAR of 0.72%.
- **Panel C (active banks):** restricting to banks with high deal counts still yields significant fixed effects and meaningful dispersion, so results are not driven by thinly observed boutiques.
- **Panels D–E (liquidity/measurement filters):** removing potentially illiquid acquirers leaves the conclusions intact.

Interpretation. Some banks are systematically associated with higher (or lower) acquirer announcement returns, beyond what can be explained by time effects and observable or time-invariant acquirer characteristics.

Table 3

Bank fixed effects to a deal's CAR

Panel A: Investment Bank Fixed Effects					
	Controls	Bank FE F -test	Obs	Adj R^2 (%)	
(1)	Time FE	1.65 (0.0000, 142)	15,344	0.97	
(2)	Acq chars, time FE	1.44 (0.0006, 141)	12,622	3.98	
(3)	Acq chars, acq FE, time FE	1.47 (0.0003, 138)	10,430	3.27	
Panel B: Distribution of Bank Fixed Effects					
	Std Dev	25th	75th	Interquartile Range	
(1)	1.37%	-0.91%	0.35%	1.26%	
(2)	1.39%	-0.53%	0.41%	0.94%	
(3)	2.00%	-0.65%	0.58%	1.23%	
Panel C: Fixed Effects for Active Banks					
	Bank FE F -test	Std Dev	25th	75th	Interquartile Range
(1)	1.69 (0.0038, 41)	0.64%	-0.85%	0.21%	1.06%
(2)	1.41 (0.0431, 41)	0.66%	-0.45%	0.28%	0.74%
(3)	1.60 (0.0092, 41)	0.86%	-0.47%	0.27%	0.74%
Panel D: Investment Bank Fixed Effects with Filters					
	Controls	Bank FE F -test (all banks)	Banks FE F -test (active banks)	Obs	Adj R^2 (%)
(1)	Time FE	1.60 (0.0000, 142)	1.68 (0.0043, 41)	14,955	0.98
(2)	Acq chars, time FE	1.45 (0.0004, 141)	1.45 (0.0305, 41)	12,347	3.62
(3)	Acq chars, acq FE, time FE	1.48 (0.0002, 138)	1.70 (0.0036, 41)	10,235	3.37
Panel E: Distribution of Bank Fixed Effects with Filters					
	Banks	Std Dev	25th	75th	Interquartile Range
(1)	All	1.36%	-0.88%	0.34%	1.22%
(1)	Active banks	0.64%	-0.80%	0.31%	1.11%
(2)	All	1.40%	-0.74%	0.39%	1.12%
(2)	Active banks	0.67%	-0.45%	0.17%	0.61%
(3)	All	2.00%	-0.73%	0.51%	1.23%
(3)	Active banks	0.88%	-0.53%	0.25%	0.78%

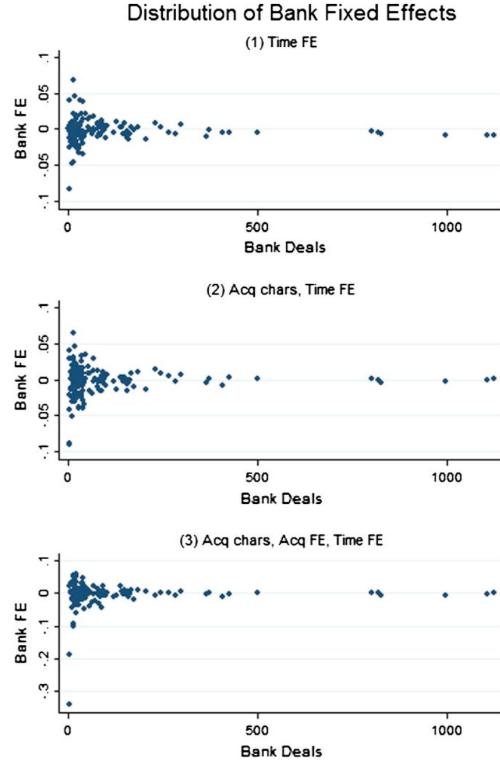


Figure 1
Plots of estimated bank fixed effects against number of deals announced in the full sample

4.4 Figure 1: fixed effects are not explained by a simple capacity–selectivity story

Figure 1 plots estimated bank fixed effects against market share (by number of deals) for three specifications. The relationship is hump-shaped and the correlation is close to zero. **Interpretation:** banks with many mandates are not systematically the worst performers; thus the data do not support a simple “high volume $\Rightarrow$ lower quality due to limited capacity” explanation.

4.5 Table 4: bank-by-bank examples among the largest advisors

Table 4 reports summary statistics for the 15 largest banks by deal count. It shows substantial heterogeneity in:

- raw average returns RET,
- client-adjusted average returns RETRES,
- and the estimated bank fixed effects from Table 3 specifications (1)–(3).

A key lesson is that controlling for acquirer characteristics can materially change a bank’s apparent performance, highlighting why fixed effects with conservative controls matter for interpretation.

4.6 Table 5: performance persistence and why low returns reflect bad deals

Table 5 shows that banks with high past performance tend to have high future performance:

- **Panel A:** persistence in raw RET is significant in 8 of 9 (j, k) horizon pairs.
- **Panel B:** persistence also appears in RETRES, so persistence is not purely client composition.
- **Panel C:** value-weighting generally strengthens economic magnitudes for RET (and is mixed for RETRES).
- **Panel D (success ratio):** low-RET banks have a much lower fraction of positive-CAR deals, implying that low average performance comes from a higher rate of value-destroying acquisitions, not merely “small positive” deals.
- **Panel E:** persistence exists among both large and small advisors, suggesting results are not an artifact of small-bank noise.

4.7 Table 6: regressions confirm persistence; market share predicts lower future returns

Table 6 estimates (7) and variants:

- Past returns positively predict future returns (consistent with the sort evidence).
- Past market share is *negatively* related to future returns, echoing Rau (2000): high-share banks on average have lower future CARs.

Table 4
Summary statistics for the top 15 investment banks by number of announced deals from 1980–2007

Investment Bank	Number of Deals	Market Share by Value	RET		Bank FE (1)	Bank FE (2)	Bank FE (3)
			RET	RETRES			
Goldman Sachs	1,126	23.64%	0.07%	0.13%	−0.93%	0.13%	0.17%
Morgan Stanley	1,108	14.91%	0.09%	0.02%	−0.91%	−0.03%	−0.31%
Merrill Lynch	997	16.91%	0.18%	−0.13%	−0.85%	−0.22%	−0.47%
CSFB	828	10.85%	0.38%	−0.41%	−0.60%	−0.45%	−0.70%
SSB/Citigroup	821	16.74%	0.51%	−0.00%	−0.38%	−0.08%	0.24%
Lehman	803	8.08%	0.58%	0.15%	−0.35%	0.07%	0.09%
JP Morgan Chase	500	8.22%	0.28%	0.02%	−0.48%	0.02%	0.27%
Lazard	427	7.74%	0.46%	0.27%	−0.47%	0.28%	−0.24%
DLJ	407	3.02%	0.68%	−0.64%	−0.45%	−0.75%	−1.12%
Bear Stearns	374	4.43%	0.98%	0.23%	−0.04%	0.14%	0.05%
UBS Warburg	367	7.32%	−0.12%	−0.45%	−0.98%	−0.45%	−0.41%
Bank of America	299	4.21%	1.47%	0.67%	0.64%	0.65%	0.58%
Salomon (pre-merger)	284	1.98%	0.66%	−0.23%	−0.56%	−0.33%	−0.62%
JP Morgan (pre-merger)	267	3.41%	0.62%	0.43%	−0.46%	0.41%	0.21%
Deutsche Bank	244	4.34%	1.04%	0.82%	0.26%	0.88%	0.08%
Avg over entire sample	15,344		0.72%	0.00%			

The averages provided in the last row include deals for all investment banks in the sample. RET is a bank's average (−1, +1) CAR; RETRES is a bank's average CARRRES, the acquirer characteristic unexplained return (residuals from regressing CAR on acquirer characteristics). The three final columns display bank fixed effects as estimated in Table 3. Specification (1) includes time fixed effects; specification (2) includes time fixed effects and acquirer characteristics; specification (3) includes time and acquirer fixed effects, and acquirer characteristics.

Table 5
Persistence in a bank's average returns and source of low returns

Panel A: Persistence in Raw Returns				
Quintiles Measured Over	1yr	Future RET Measured Over		
		2yrs	3yrs	
1yr RET				
Q1	0.92%	0.66%	0.69%	
Q5	1.49%	1.48%	1.44%	
Q5-Q1	0.57%	0.82%	0.76%	
	(1.32)	(2.73)***	(2.85)***	
2yrs RET				
Q1	0.52%	0.61%	0.74%	
Q5	1.47%	1.55%	1.36%	
Q5-Q1	0.95%	0.94%	0.63%	
	(2.58)**	(3.07)***	(1.99)**	
3yrs RET				
Q1	0.59%	0.57%	0.60%	
Q5	1.68%	1.73%	1.54%	
Q5-Q1	1.09%	1.16%	0.94%	
	(2.74)***	(3.55)***	(2.91)***	

Panel B: Persistence in Residual Returns				
Quintiles Measured Over	1yr	Future RETRES Measured Over		
		2yrs	3yrs	
1yr RETRES				
Q5-Q1	0.78%	0.80%	0.85%	
	(1.71)*	(2.51)**	(3.32)***	
2yrs RETRES				
Q5-Q1	1.35%	0.92%	0.55%	
	(2.86)***	(2.85)***	(1.88)*	
3yrs RETRES				
Q5-Q1	0.75%	0.55%	0.37%	
	(1.76)*	(1.82)*	(1.29)	

Panel C: Persistence in Returns (Transaction value-weighted measures)								
Quintiles Measured Over	Future RET Measured Over			Quintiles Measured Over	Future RETRES Measured Over			
	1yr	2yrs	3yrs		1yr	2yrs	3yrs	
1yr RET				1yr RETRES				
Q5-Q1	0.62%	1.01%	1.00%	Q5-Q1	0.95%	1.31%	0.82%	
	(1.07)	(2.01)**	(2.22)**		(1.63)	(2.93)***	(1.95)*	
2yrs RET				2yrs RETRES				
Q5-Q1	0.98%	0.98%	0.81%	Q5-Q1	0.38%	0.65%	0.23%	
	(1.79)*	(1.88)*	(1.52)		(0.69)	(1.26)	(0.43)	
3yrs RET				3yrs RETRES				
Q5-Q1	0.45%	1.36%	1.07%	Q5-Q1	0.62%	0.75%	0.50%	
	(0.84)	(2.47)**	(2.01)**		(1.08)	(1.27)	(0.80)	

Panel D: Percentage of Positive CAR deals, by RET Quintile				
	1yr	2yrs	RET Measured Over	
			1yr	3yrs
Q1	26.51%	34.90%		37.56%
Q5	71.64%	67.41%		64.67%
Q5-Q1	45.13%	32.51%		27.11%
	(25.12)***	(22.07)***		(19.26)***

Panel E: Persistence by Size of Advisor						
Large Advisors			Small Advisors			
Terciles Measured Over	Future RET Measured Over 1yr	2yrs	3yrs	Halves Measured Over 1yr	Future RET Measured Over 2yrs	3yrs
1yr RET				1yr RET		
T3-T1	0.40%	0.48%	0.41%	H2-H1	1.07%	1.24%
	(1.50)	(2.53)**	(2.29)**		(1.62)	(2.79)***
2yrs RET				2yrs RET		
T3-T1	0.45%	0.43%	0.33%	H2-H1	1.69%	0.96%
	(1.82)*	(2.23)**	(1.58)		(3.12)***	(2.50)**
3yrs RET				3yrs RET		
T3-T1	0.48%	0.41%	0.37%	H2-H1	1.17%	1.02%
	(1.77)*	(1.97)**	(1.73)*		(2.26)**	(2.56)**

- Interactions with share are insignificant, suggesting persistence is not confined to small banks.
- “First-half” interactions are insignificant, and persistence remains for $j \geq 2$ even in the later subsample, suggesting ability differences have not disappeared over time.

Table 6
Determinants of *RET*

Panel A: Determinants of Bank-Level RET						
	1yr	1yr	2yrs	2yrs	3yrs	3yrs
Past j years						
RET	0.0958 (2.22)**	0.0908 (2.09)**	0.1974 (3.38)***	0.1876 (3.21)***	0.1789 (2.82)***	0.1619 (2.56)**
SHARE		-0.0346 (3.17)***		-0.0351 (3.00)***		-0.0416 (3.59)***
# obs	993	993	947	947	897	897
R^2 (%)	6.16	6.51	6.22	6.56	5.06	5.56

Panel B: Determinants of Bank-Level RET with RET-SHARE Interaction						
	1yr	1yr	2yrs	2yrs	3yrs	3yrs
Past j years						
RET	0.0968 (2.03)**	0.0919 (1.93)*	0.2044 (3.25)***	0.1920 (3.05)***	0.1786 (2.66)***	0.1566 (2.33)**
SHARE		-0.0346 (3.16)***		-0.0347 (2.95)***		-0.0421 (3.66)***
RET X SHARE	-0.0893 (0.11)	-0.0945 (0.11)	-0.6364 (0.46)	-0.3889 (0.27)	0.0280 (0.02)	0.4964 (0.35)
# obs	993	993	947	947	897	897
R^2 (%)	6.16	6.52	6.24	6.57	5.06	5.57
RET (at 5% SHARE)	0.0924 (2.12)**	0.0871 (1.92)*	0.1726 (2.40)**	0.1725 (2.34)**	0.1800 (2.31)**	0.1814 (2.30)**

Panel C: Determinants of Bank-Level RET with First-Half Interaction						
	1yr	1yr	2yrs	2yrs	3yrs	3yrs
Past j years						
RET X	0.0406 (0.43)	0.0290 (0.31)	0.0998 (0.81)	0.0806 (0.64)	0.1222 (0.88)	0.0921 (0.64)
FIRST HALF RET	0.0826 (1.49)	0.0805 (1.46)	0.1666 (2.19)**	0.1618 (2.14)**	0.1404 (1.87)*	0.1310 (1.76)*
SHARE X FIRST HALF SHARE		-0.0256 (1.05)		-0.0219 (0.77)		-0.0326 (1.16)
		-0.0244 (2.01)**		-0.0265 (2.36)**		-0.0304 (2.58)**
# obs	993	993	947	947	897	897
R^2 (%)	6.19	6.58	6.33	6.67	5.19	5.72

Table 7
Determinants of market share

	1yr	2yrs	3yrs	1yr	2yr	3yrs	1yr	2yrs	3yrs
Constant				0.0099 (4.55)***	0.0068 (4.08)***	0.0059 (4.64)***	0.0098 (4.59)***	0.0068 (4.07)***	0.0059 (4.65)***
RET	0.0007 (0.03)	-0.0259 (0.46)	-0.0409 (0.63)	-0.0025 (0.14)	-0.0370 (1.14)	-0.0357 (1.09)	-0.0313 (1.49)	-0.0486 (1.74)*	-0.0518 (1.52)
SHARE				0.0805 (13.09)***	0.0318 (17.67)***	0.0449 (28.08)***	0.0450 (13.26)***	0.0314 (17.70)***	0.0460 (28.82)***
RET X SHARE							3.1504 (1.80)*	1.0993 (0.30)	1.5995 (0.42)
Bank FE	Yes	Yes	Yes	No	No	No	No	No	No
# obs	1,188	1,079	1,017	1,168	1,079	1,017	1,168	1,079	1,017
R^2 (%)	39.72	60.69	61.14	44.53	54.83	58.23	44.81	54.85	58.24
RET (at 5% SHARE)							0.1362 (1.60)	0.0963 (0.64)	0.0237 (0.15)

4.8 Table 7: clients do not chase past returns (but share is highly persistent)

Table 7 estimates (8). Two facts coexist:

- past RET is a positive predictor of future RET (Tables 5–6),
- yet past RET is an *insignificant determinant* of future market share (Table 7), while past share strongly predicts future share.

Interpretation. Mandates are not allocated in a way that strongly rewards past value creation. This lack of “performance chasing” is sufficient for persistence in bank performance to survive.

4.9 Table 8: relationship lock-in is associated with lower returns for repeat acquirers

Table 8 focuses on repeat acquirers and compares CARs depending on whether they retain a prior advisor. Key pattern:

- Retaining an old advisor is associated with a lower CAR than not retaining (difference about 0.24 percentage points).

- Retaining an advisor that previously produced *negative* CARs for that client is associated with substantially worse outcomes than retaining an advisor with positive past performance (difference about 0.79 percentage points).

Interpretation. Relationship-specific capital (or other lock-in forces) can mute discipline from performance and help explain persistence.

Table 8
Relationship between a deal's (-1, +1) CAR and the use of a past advisor

Panel A				
	(1)	(2)	(3)	(4)
	Did not retain and old advisor	Retained an old advisor	Retained only advisors with positive past performance	Retained an old advisor with negative past performance
CAR	0.33%	0.09%	0.46%	-0.33%
<i>t</i> -statistic	(3.28)***	(0.89)	(3.37)***	(2.41)**
# obs	3,793	4,291	2,263	2,028

Panel B				
	(1)-(2)	(1)-(3)	(1)-(4)	(3)-(4)
CAR	0.24%	-0.13%	0.66%	0.79%
<i>t</i> -statistic	(1.74)*	(0.78)	(3.89)***	(4.09)***

Table 9
Logit regressions of advisor choice by acquirers without a previous M&A, issuance, or lending relationship over the last five years with one of our 143 banks

	1yr	1yr	2yrs	2yrs	3yrs	3yrs
<i>Past j years</i>						
Constant	-4.4597 (168.92)***	-4.5908 (144.50)***	-4.4199 (154.13)***	-4.5797 (125.75)***	-4.4063 (141.84)***	-4.5746 (114.91)***
RET	-0.3508 (0.37)	0.0059 (0.01)	-2.2120 (1.56)	-1.3952 (0.90)	-2.5828 (1.47)	-1.1367 (0.59)
SHARE		4.0123 (8.26)***		4.5560 (8.40)***		4.3307 (8.07)***
# obs	67,806	67,806	63,586	63,586	60,791	60,791
Pseudo R^2 (%)	0.00	0.56	0.02	0.68	0.02	0.66

* significant at 10%; ** significant at 5%; *** significant at 1%.
The analysis is at the acquirer-bank level, and the dependent variable equals 1 if the acquirer mandated that particular bank. Banks that do not advise on M&A in the year of the deal are treated as unavailable and excluded from the analysis. *RET* is the bank's average (-1, +1) CAR over the past *j* calendar years. *SHARE* is the bank's market share by value of deals over the past *j* calendar years. Standard errors are clustered by deal. The sample period is 1993–2007, and *t*-statistics are in parentheses.

4.10 Table 9: in “no-relationship” settings, market share matters but returns still do not

Table 9 estimates a logit for advisor choice among acquirers with no prior M&A/issuance/lending relationship.

- Market share strongly predicts being chosen (large positive coefficients, highly significant).
- Past returns do not robustly predict being chosen.

Interpretation. Even when relationship-specific capital is absent by construction, clients appear to select advisors by prominence/availability (market share), not by past value creation.

5 Short summary

The paper delivers a coherent set of conclusions:

1. **Banks matter:** there is a significant and economically large bank fixed effect in deal announcement returns.
2. **Performance persists:** banks with high past average CARs continue to have high future average CARs.
3. **Clients do not eliminate persistence by reallocating mandates toward high performers:** market share is persistent and largely unrelated to past performance, consistent with relationship forces and/or limited learning.

This contrasts with mutual funds, where strong flow-performance sensitivity eliminates persistence (Berk & Green 2004; Carhart 1997).

6 Conclusion

6.1 Summary

This paper concludes that **investment banks matter for M&A outcomes** in an economically meaningful way. Using 15,344 U.S. acquisitions (1980–2007), the authors estimate **advisor (bank) fixed effects** in acquirer announcement returns and show that banks exhibit persistent differences in value creation:

- (i) **There is a statistically significant bank fixed effect in acquirer announcement returns.** An F-test strongly rejects equality of bank fixed effects across advisors (Table 3, Panel A).
- (ii) **The dispersion in bank fixed effects is economically large.** The interquartile range of bank fixed effects is about **1.26%** in the baseline specification with time fixed effects only, compared with a full-sample mean three-day CAR of **0.72%** (Table 3, Panel B; Abstract). The dispersion remains large even after controlling for acquirer characteristics and acquirer fixed effects (IQR roughly **0.94%–1.23%** across main specifications; Table 3, Panel B).
- (iii) **Bank performance is persistent and predictable from past performance.** Sorting banks by past performance yields significant spreads in future performance. For example, banks in the top quintile based on prior two-year CAR outperform the bottom quintile by about **0.94%** over the next two years (Table 5, Panel A, $j = k = 2$), and persistence remains when using residualized returns that remove the component explained by acquirer characteristics (Table 5, Panel B).
- (iv) **Market share is a poor proxy for “quality” and is weakly related to fixed-effect performance.** The correlation between bank fixed effects and market share is close to zero (e.g., about 0.03; Figure 1 discussion), and large advisors are not systematically at the top or bottom of the performance distribution.
- (v) **Clients do not chase performance: mandates follow market share, not past returns.** Past returns (RET) do not robustly predict future market share, while past market share strongly predicts future market share (Table 7). Similarly, in a logit choice model among acquirers with no prior relationship, market share predicts being chosen, but past returns do not (Table 9).

Putting these together, the paper’s headline conclusion is:

Banks differ meaningfully in M&A outcomes and those differences persist, but clients do not reallocate mandates toward high-performing banks.

6.2 Why fixed effects and persistence can coexist

The key intuition is an equilibrium selection argument driven by **weak performance-based discipline** in the M&A advisory market.

1) **Why bank fixed effects can exist.** Banks can matter through at least three skill-related channels:

- **screening/origination:** identifying favorable deals and dissuading value-destructive acquisitions,
- **negotiation/structuring:** improving terms, financing structure, and deal design,
- **trustworthiness:** saying “no” to bad deals even when fees depend on completion.

If banks differ systematically in these abilities, average acquirer CARs can differ by advisor.

2) **Why performance persistence can survive.** In a frictionless market where clients perfectly observe skill and can costlessly switch, high-performing banks would gain mandates until diminishing returns to scale erode outperformance (the logic behind performance non-persistence in mutual funds). The paper shows one key necessary condition fails here: **clients do not chase past returns**. Therefore, even if there are diminishing returns to scale, the mechanism that reallocates demand toward skill is weak, so ability differences can translate into persistent outcome differences.

3) **Why clients may not chase returns (mechanisms consistent with the evidence).** The empirical patterns are consistent with one (or both) of the following:

- **Lock-in / relationship capital:** repeat acquirers often retain prior advisors even after poor outcomes, consistent with switching costs, relationship-specific information, or internal processes that favor incumbents (Table 8).
- **Failure to learn / noisy performance signals:** deal outcomes are infrequent for any given client and noisy even for a given bank, making it hard to infer skill from realized CARs; in such a setting, clients may default to salient proxies like prominence/market share.

4) **Why the paper matters methodologically.** Because market share and “reputation” are weakly linked to measured value creation, studies that regress CAR on market share can fail to detect whether banks matter. The fixed-effect approach asks a sharper first question: *do banks differ at all in outcomes?* Once the answer is “yes,” it becomes meaningful to study why.

6.3 Implications and open questions

The paper’s results imply that **implicit reputational incentives may be weaker than often assumed** in M&A advice: if future mandates are not strongly tied to past value creation, banks have limited market discipline to internalize shareholder value. This helps rationalize contractual features such as fairness opinions and suggests value from stronger incentive alignment.

The conclusion section also highlights natural extensions:

- Why do clients not chase performance, and is this efficient (rational lock-in) or inefficient (private benefits/prestige)?

- Why are “returns to ability” seemingly low in M&A compared with underwriting or private equity?
- Do target returns also exhibit bank fixed effects, and are bidder-side “good” banks also good defense advisors?

6.4 Takeaway

There is a large and statistically significant advisor fixed effect in acquirer announcement returns, performance is persistent and predictable, but clients allocate mandates based on market share and relationships rather than past value creation, allowing performance persistence to survive in M&A advice unlike in mutual funds.